

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$124.95 ▲ 4.28%	12M Price Target \$145.00	52-Week Range \$63.52 – \$153.86	Market Cap \$112.34B
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HOOD: Tokenization + Trump Accounts = Structural Tailwinds

WHAT HAPPENED

- HOOD ripped +4.3% today and is up ~20% in a week — the market's pricing in a coming SEC crypto "exemption" (basically the SEC saying certain crypto activities won't be treated as securities violations), which would be a green light for Robinhood's crypto business. Cathie Wood actually SOLD \$60M of crypto stocks into this rally, which is a mixed signal — she's taking profits, not calling a top necessarily.
- Vlad Tenev went on record hyping "Trump Accounts" — these are new tax-advantaged savings accounts for kids being pushed by the administration — as potentially "the biggest long-term savings vehicle in America." If HOOD becomes the default platform for these, that's a decades-long asset-gathering machine.

WHY IT MATTERS

Here's the big picture: HOOD is no longer just a meme-stock brokerage — it's morphing into a policy-favored fintech platform with three government-adjacent tailwinds stacking up at once. The SEC's coming crypto exemption removes the regulatory overhang that capped HOOD's crypto revenue for years; Trump Accounts could funnel millions of new custodial accounts to whichever platform wins the UX war (HOOD's mobile-first design is built for this); and tokenized stocks — where equities trade 24/7 on blockchain rails — would let HOOD leapfrog Schwab and Fidelity, who are structurally slower to adopt. The options market sees it: the unusual call buying at \$124-130 strikes tells you smart money is positioning for MORE upside, not fading the rally.

POLICY & POLITICAL WATCH

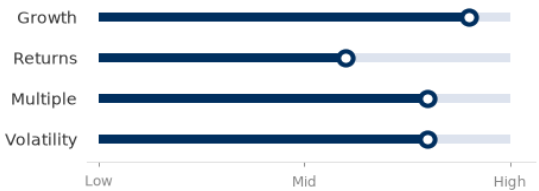
The near-term catalyst is the SEC's crypto exemption framework — expected in the coming weeks — which would formally carve out certain digital asset activities from securities regulation. If it lands as expected, HOOD's crypto trading revenue (already ~35% of transaction revenue) gets a legal moat and probably a volume boost. Longer-term, watch the Trump Accounts legislation implementation — the Treasury still needs to write rules on which platforms qualify as custodians, and HOOD is lobbying hard to be on that list. Any dilution of these two policies is the real bear case.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$124.95
12M Price Target	\$145.00
Upside / (Downside)	+16.0%
Market Cap	\$112.34B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	67.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$128.00	\$108.00
6 Months	\$165.00	\$140.00	\$95.00
1 Year	\$195.00	\$145.00	\$85.00
2 Years	\$260.00	\$180.00	\$75.00
5 Years	\$400.00	\$250.00	\$60.00
10 Years	\$700.00	\$380.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Comm Services (+3.8%) and Tech (+2.4%) — risk-on tape, with crypto-adjacent names leading because of the SEC exemption chatter. Fintech and digital assets are the direct policy beneficiaries.

COOLING OFF: Real Estate and Industrials are flat-to-lagging — money isn't rotating into rate-sensitive defensive names, which tells you the market thinks the Fed stays on hold and risk assets keep working.

ROTATION WATCH: Money is flowing INTO crypto rails and retail fintech because the regulatory environment just flipped from hostile to friendly for the first time in years — that's a multi-quarter tailwind, not a one-day trade.

RELATED PLAY: If tokenized stocks take off, the infrastructure winners are the blockchain settlement layers — think COIN (Coinbase) for institutional custody and potentially crypto exchanges that partner with HOOD on tokenization rails.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of the same SEC exemption — running on identical catalysts, though its "steadier side" (subscription revenue) is getting mixed reviews per today's Trefis piece.
- MSTR (Strategy): Bought more bitcoin today with BTC at YTD highs — pure crypto beta play that moves when HOOD moves.

HOOD CONTEXT: HOOD is leading its peer group right now because it's got MORE catalysts stacked (crypto + Trump Accounts + tokenization) than any single competitor. That leadership usually persists until one of the catalysts disappoints — so as long as policy news keeps flowing positive, HOOD stays the sector leader.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Multiple stacking policy tailwinds with real revenue conversion, but the stock's run hard and expectations are elevated.

POSITION SIZE: 3-5% of portfolio — this is high-beta with binary policy outcomes, so size it like a growth bet, not a core holding.

ENTRY POINTS: I'd wait for a pullback to \$108-115 on any macro fear day or SEC-related disappointment. Chasing here at \$125 works only if you're already in.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are the SEC exemption finalization (weeks) and Trump Account custodian designation (months).

WHEN TO BAIL: If the SEC exemption gets significantly watered down, if crypto revenue drops two quarters in a row, or if Vlad Tenev starts selling big blocks of stock — that's the tell.

HEDGING: Buy a \$110 put a few months out for protection — it costs you a small premium but caps your downside if the policy story cracks. Or just trim 25% of the position if it runs another 15% from here.